

As of April 2, 2025, I am taking over Daisy's book of 10 accounts. The following analysis identifies the top 5 accounts requiring immediate attention, ranked by combining both financial risk and strategic importance.

Fig 1.
Score
Table

Facility	Score for Net Terms (a)	Score for Status (b)	Score for Wallet Share (c)	Trend over time (d)	Avg days late when paying (e)	Avg exposure per billing event (f)	Avg size of unpaid invoice (g)	Avg score based on exposure and unpaid avg (h)	Disputes score (i)
SNF 1	1	0	1	1	0	0	0	0	0
SNF 2	3	0	1	3	3	4	3	3.5	5
SNF 3	5	5	2	4	0	4	3	3.5	3
SNF 4	3	0	4	2	0	0	0	0	2
SNF 5	2	0	4	2	0	0	1	0.5	1
SNF 6	1	0	1	4	2	0	0	0	0
SNF 7	2	0	1	1	0	0	0	0	0
SNF 8	2	0	5	2	2	1	2	1.5	2
SNF 9	1	3	4	4	3	1	2	1.5	3
SNF 10	2	0	4	2	0	1	2	1.5	4

Fig 2. Rank Table

Ranks	SNF	Final Score
1	SNF 3	22.5
2	SNF 9	19.5
3	SNF 2	18.5
4	SNF 10	15
5	SNF 8	14.5
6	SNF 4	11
7	SNF 5	9.5
8	SNF 6	8
9	SNF 7	4
10	SNF 1	3

Top 5 accounts ranked in order of priority are illustrated in the above table Fig. 2 and marked in green. The ranking of the SNFs is based on scoring criteria that is multi-dimensional and combines data with qualitative signals. The scoring model focuses on two aspects: 1) Strategic value: importance of account in terms of impact on cash flow and 2) financial risk: Clipboard's exposure if the account defaults or stops responding. Nine factors were scored per SNF (see Fig 1.) using quantitative metrics derived from invoice & payment dataset, behavioral payment analysis and qualitative insights from emails, voicemails and slack messages. The scoring is weighted to promote urgency of action. The top 5 represent a cross-section of distinct risk types, each requiring a different resolution approach. Note: invoices with no Payment Date are treated as unpaid in full, as no partial payment amounts are available in the dataset.

1. **SNF 3:** As the only suspended account among the 10 SNFs, it represents a severe bad debt risk. Despite high wallet share and clear invoice trends, the client has a 100% billing exposure and a total lack of follow-up, signaling a fundamental cash flow issue. Invoice amounts have gone down since Dec 2024, likely due to suspension over non-payment of invoices, but lack of follow up to emails (e.g. one sent on Jan 17th) and voicemails could indicate something more concerning: they have found an alternate solution to their staffing needs that negatively impacts our ability to collect, assuming the facility is still functioning normally and accepting HCPs for shifts. All 14 invoices worth \$168,000 need to be collected (full exposure) and there is a cheque for INV044 that we were supposed to have received after Jan 7th but it never reached us, possibly lost in transit or shipped to the wrong vendor, indicating the inherent risk in accepting payments by physical cheque. The solution would involve several steps, first a clarifying email explaining that the suspension will remain until all balances that are past due their terms i.e. net 60 are cleared by electronic payment. There are a total of 6 invoices past 60 days and their balance is \$72,400 – the email and subsequent voicemails and outbound calls must specify that this balance be cleared to release the suspension. Payments by cheque will only cause delays and further exacerbate the balance past 60 days so it must be made explicit cheques by mail cannot be accepted. In the email, we can offer them documentation and information needed to direct bank-bank transfers or wire transfers, which are faster. After the initial email sent on Apr

3rd, follow up calls should be made every other day Apr 4th, Apr 7th, Apr 9th etc. In case calls are not answered, leave voicemails.

2. **SNF 9:** 2nd highest score and rank due to: only account with Pending status, nearly 75% wallet share, behavioral pattern showing they always pay late than their terms, monthly invoice trend shows they have tapered off instead of growth and a high outstanding balance at \$207K for 5 invoices. The data shows the account showed substantial growth from Jan 20th up to Feb 24th but then invoice amounts declined afterwards. The growth in monthly invoice amounts has stopped because of this and the pended status of their account may be exacerbating this. This is concerning as this seems to be a high-value account that heavily utilizes our platform and their large invoice amounts is beneficial for cash flow at ~75% wallet share. The root cause of their late payment pattern is revealed in the data: they typically pay on the 17th of each month, indicating a batch payment plan likely due to their internal AP cycle. The email sent by their AP confirms this as they mention they pay on a 'fixed monthly schedule' i.e. for us the 17th of each month. Although it's true that 100% of their payments are later than net 15, it's not due to their cash flow but rather a consequence of following strict payment plan based on internal processes. Placing such an account in Pending status over payment preferences seems misguided and could harm our relationship with the SNF, instead the solution would be to reach out to their AP via email/call on Apr 4th clarifying we observe the batched payment pattern and offer to revise their terms to net 30 days instead of net 15 to more closely align with their internal process, in addition we can mention that the pending status can be removed if the next payment expected on April 17th clears all overdue bills past 15 days i.e. \$141,500. Not only would this improve our relationship with the customer but also ensure in future the account status doesn't get disrupted. After multiple follow ups on Apr 7th, Apr 11th and Apr 14th - If no payment comes in Apr 17th, we can then investigate further and escalate if needed.
3. **SNF 2:** has the 2nd highest exposure risk at ~\$67K per invoice issued, also having 15/17 unpaid invoices valued at ~\$1.15 million puts their average unpaid invoice amount at \$76K, which shows huge strategic risk in case the SNF becomes insolvent or bad debt. More concerning is that despite the large overdue balance, no contact has been made with the client in this regard. It is assumed that since no evidence of voicemails/emails/slack made to SNF2 in supplementary material, then no outreach done yet. Even though technically they only have 2 invoices from Dec 2024 past terms, the total overdue amount \$154,500 shows significant risk concentration for an account with an unreliable payment pattern. Having such a substantial amount of liquidity tied up in an account that has stopped making payments since Feb 12th also indicates 45 days may be too lenient and it may be worth revising this. The solution for this account would be following: phone call on Day 1 asking for status on two overdue invoices (028, 029), then a follow up email on Day 2 reminding them about the two plus an additional invoice INV030 that is at 41 days and is about to become overdue as well. On Day 3 place another call and if no reply, leave email asking for concrete payment plan for the 3 bills. On Day 4 (all 3 are now overdue) send final reminder and warn the account it may undergo pended status if no follow up in 3-4 business days. On Day 8 email, mention all three bills INV 028, 029, 030 are past due and account is pended until payment update.
4. **SNF 10:** Has a serious operational issue in terms of HCP's not clocking in properly that if left unresolved could destabilize an otherwise healthy relationship with a high value account (wallet share > 80%). Despite having highest average unpaid invoice size at ~\$103K per unpaid bill, the

score for this criteria was adjusted to reflect the fact that the outstanding balance is comprised of recently generated invoices that are not yet due and the account is overall within terms. It has the highest monthly invoice volume out of the portfolio but there is no discernable trend of growth as the monthly invoice amounts fluctuate (since it's not certain what monthly invoice amounts looked like prior to Nov 2024, we can't say for sure what the overall trend really is). This represents a missed opportunity to establish stronger relations with the client and ensure they rely on Clipboard more consistently for their staffing needs, which could have substantial cash flow benefits. One way to accomplish this would be to address the operational problems in the Mar 27th email by the SNF Admin in a clear and impactful way. The failure of HCPs to use the internal clock-in system could represent a gap in Clipboard's internal procedures for managing HCPs. It should require that all HCPs using Clipboard must log their hours as per the SOPs of the SNFs they apply for, and should also be encouraged with in-app reminders to regularly check in and confirm that their hours are logged in the SNF's system as well as ours. Clipboard should send out a mass in-app notification on Apr 5th to their HCP highlighting the importance of following clock-in procedures of their respective SNFs and notify Admin via email of this as well, we can also engineer an in-app feature that helps nurses log their hours independently as a backup. Finally, the admin also mentions invoice emails going to the wrong contact, hence Clipboard should weekly review their contact list and make sure invoices/updates are being forwarded to the right persons. If any contact info missing, we should request that info from Admin by email, ideally on Apr 15th or after implementing out new in-app solutions.

5. **SNF 8:** Has an established dispute-resolution process (6 disputes, 4 resolved via revised invoices) but ~\$203K remains stuck in two unresolved pairs (INV174, INV175). They have 13 unpaid invoices totaling ~\$446K, and thus third highest unpaid invoice average at ~\$49K; at 98% wallet share this cash being tied up is quite risky. In addition, similar to SNF10, its monthly invoice pattern fluctuates without any clear sign of growth. This once again shows a loss of potential opportunity to cultivate better relations with the account. The voicemails also indicate an ongoing issue with regards to miscalculation of shift times on Clipboard's generated invoices, and given this is interfering with their internal payment processing capability, an immediate fix is needed to reduce frustration on their end and improve our standing with the SNF. The priority should be completing the in-flight resolutions and implementing a clock-in verification fix to stop new disputes from generating. The first step is to remove the outdated versions INV174 and 175 from the system, given we already generated 174-2 and 175-2 to replace them, and Rachel from SNF 8 should be informed of this via call as well on Apr 4th. This reduces admin overhead on their end as they don't have to spend time evaluating which invoices to pay, and this step must be replicated for all duplicate bills in the system. In addition, the voicemail mentioned invoices not rounding shift times to 15 min increments, to resolve this, an internal automated verification tool can be introduced that confirms proper rounding before final invoices are shipped, this would also help address the problem of long-wait times associated with contacting billing support at Clipboard. Once this is implemented and proper invoices are being sent out, we can interface with Rachel once/week to confirm if the problem persists.

Loom Link (SNF 3 walkthrough): <https://www.loom.com/share/1a69eb8c11ba4300baff50665b07c72b>